

Multiple Choice

1. **Answer:** B

Options: A) Federal government purchases of goods and services.; B) Imports.; C) State and local government purchases of goods and services.; D) Exports.

Note: Imports are not included in GDP because GDP measures the value of goods and services produced within a country's borders, while imports represent production from outside the country.

2. **Answer:** C

Options: A) A positive income elasticity; B) A horizontal demand curve; C) A negative cross-price elasticity; D) A demand elasticity greater than one

Note: A negative cross-price elasticity indicates that when the price of one good rises, the quantity demanded of the other good falls, showing that the two goods are used together, thus classifying them as complements.

3. **Answer:** B

Options: A) a persistent surplus of good X.; B) a persistent shortage of good X.; C) an increase in the demand for good Y, a substitute for good X.; D) a decrease in the demand for good Z, a complement with good X.

Note: A price ceiling, set below the equilibrium price, prevents suppliers from charging a price that reflects the true market value, leading to increased demand and decreased supply, which results in a persistent shortage of good X.

4. **Answer:** C

Options: A) An increase in the money supply; B) Increased government spending; C) Lower taxes on research and development of new technology; D) Higher taxes on household income

Note: Lowering taxes on research and development of new technology exemplifies supply-side fiscal policy because it incentivizes businesses to invest in innovation and production, ultimately aiming to enhance economic growth and productivity.

5. **Answer:** B

Options: A) downward sloping and equal to the market demand curve.; B) perfectly elastic.; C) perfectly inelastic.; D) kinked at the going market price.

Note: The demand curve for a perfectly competitive firm's product is perfectly elastic because the firm is a price taker, meaning it can sell any quantity of its product at the market price but cannot influence that price with its own output levels.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: Marginal revenue equals marginal cost at the point where total revenue is maximized because this is the point where a firm has no incentive to increase or decrease output, indicating that profit is maximized.

7. **Answer:** True

Options: A) True; B) False

Note: A change in the price of hamburgers affects the quantity demanded along the same demand curve rather than shifting the curve itself, which is influenced by factors such as consumer preferences, income, and the prices of related goods.

8. **Answer:** True

Options: A) True; B) False

Note: A perfectly competitive employer hires labor until the wage equals the marginal revenue product of labor because this is the point at which the cost of hiring an additional worker equals the additional revenue generated by that worker, maximizing profit.

9. **Answer:** False

Options: A) True; B) False

Note: An increase in the marginal propensity to save actually decreases the spending multiplier because more income is saved and less is spent, leading to a smaller overall impact on the economy from an initial change in spending.

10. **Answer:** True

Options: A) True; B) False

Note: Households supply labor and other resources to firms, which in turn compensate them with wages and profits, reflecting the fundamental economic exchange between these two entities.

Long Form Response

11. **Answer:** In a perfectly competitive labor market, equilibrium occurs when the supply of labor matches the demand for labor, which means that the number of workers willing to work at a given wage is equal to the number of jobs available. This balance ensures that everyone who wants to work has the opportunity to do so, as employers hire all qualified candidates at the market wage. When wages are flexible and adjust to changes in demand and supply, it creates an environment where job seekers can find employment. Essentially, this equilibrium helps prevent unemployment caused by a mismatch between job availability and worker supply, allowing individuals to participate in the labor force and contribute to the economy.

Note: correct because it outlines how the equilibrium in a perfectly competitive labor

market occurs when labor supply equals labor demand, ensuring that all willing workers can find jobs at the prevailing market wage.

12. **Answer:** Diminishing marginal utility is the economic principle that as a person consumes more of a good, the additional satisfaction or utility gained from each subsequent unit decreases. This concept explains consumer behavior when the price of a good increases; as prices rise, consumers may buy less of the good because the additional satisfaction they receive does not justify the higher cost. For example, if someone enjoys pizza, the first slice provides a lot of satisfaction, but the fifth slice may not be as enjoyable. Therefore, when the price of pizza goes up, consumers might choose to buy fewer slices or switch to a different food that provides better value for their money. This behavior reflects how diminishing marginal utility influences decisions in response to changing prices.

Note: The answer correctly identifies diminishing marginal utility as the principle that explains how increased prices lead consumers to reduce their quantity demanded, as the additional satisfaction from consuming more of a good does not outweigh its higher cost.